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Client Relationship Profile

Metro Transit Authority

CONFIDENTIAL

Version 1.5 | Effective Date: February 2026

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1. Client Overview

Client Name: Metro Transit Authority (MTA)

Industry: Public Sector -- Transportation

Headquarters: Portland, OR

Annual Operating Budget: $1.8 billion (FY2025)

Employees: 8,200

Organization Type: Regional government authority, established by state statute

Service Area: Portland metropolitan area, covering 3 counties and 1,400 square miles

Ridership: 98 million annual trips (FY2025)

Modes of Service: Light rail (5 lines, 97 stations), bus (82 routes), commuter rail (1 line), paratransit, bike-share

Fiscal Year End: June 30

Relationship Partner: David Rawlings, CPA, CGFM

Relationship Start Date: July 2020

Relationship Tenure: 6 years

2. Relationship History

Meridian's engagement with Metro Transit Authority began in 2020 when MTA selected Meridian through a competitive procurement process to serve as its independent external auditor. The initial contract was for a 3-year term with two 1-year renewal options. Both renewal options have been exercised, and MTA has indicated intent to issue a new 5-year RFP in early 2026 (a significant re-compete opportunity). Total relationship revenue has grown from $680K in Year 1 to $2.4M in FY2025 as additional service lines have been added.

Timeline of Engagements

- **2020 (Q3):** External Financial Audit -- selected as independent auditor for MTA's ACFR and single audit. Scope includes the Authority and 3 component units.
- **2021 (Q1):** Federal Grant Compliance Review -- comprehensive review of $340M in FTA formula and discretionary grants. Identified compliance gaps in procurement documentation and grant period tracking.
- **2021 (Q4):** Internal Controls Assessment -- COSO-based assessment of internal controls over financial reporting. Identified 12 significant deficiencies and developed remediation roadmap.
- **2022 (Q2):** Fare Revenue Integrity Study -- analysis of fare evasion rates, revenue leakage, and technology options for next-generation fare collection system.
- **2023 (Q1):** Cybersecurity Assessment -- assessment of operational technology (OT) security across rail signaling, SCADA systems, and transit management systems. Developed incident response playbook.
- **2023 (Q3):** Capital Program Audit -- performance audit of $2.1B capital program (light rail expansion). Assessed project management practices, cost controls, and contractor oversight.
- **2024 (Q2):** Zero-Emission Bus Transition Study -- financial and operational analysis of transitioning 420-bus fleet to battery-electric. Modeled TCO, infrastructure requirements, and phased deployment scenarios.
- **2025 (Q1):** Enterprise Risk Management -- designed and implemented ERM framework per ISO 31000. Facilitated

risk workshops with Board and executive leadership.

3. Current Active Engagements

Annual Financial Audit (Ongoing)

Annual Fee: $890K

Scope: ACFR preparation and audit, single audit (6 major federal programs), 3 component unit audits, management letter

Team Size: 10 professionals during peak fieldwork (September-November)

Engagement Partner: David Rawlings

Client Contact: CFO, Diana Kowalski; Controller, Mark Tanaka

Cybersecurity Monitoring (Ongoing)

Annual Fee: $640K

Scope: Quarterly vulnerability assessments of IT and OT environments, annual penetration testing, incident response retainer, security awareness training

Engagement Partner: David Kim

Client Contact: CIO, Steven Hernandez

Capital Program Oversight (Ongoing)

Annual Fee: $870K

Scope: Independent oversight of $2.1B light rail expansion program. Quarterly progress audits, cost-to-complete analysis, change order review, contractor performance assessment.

Engagement Partner: David Rawlings

Client Contact: VP Capital Programs, Jennifer Lawson

4. Key Outcomes and Value Delivered

- **ACFR Quality:** MTA has received the GFOA Certificate of Achievement for Excellence in Financial Reporting for all 5 years of Meridian's tenure as auditor. Prior auditor: 2 of 5 years.
- **Federal Compliance:** Identified $2.4M in questioned costs during single audit, all resolved through corrective action without FTA enforcement. Prevented potential debarment risk.
- **Internal Controls:** 12 significant deficiencies identified in 2021 reduced to 2 by 2024 through systematic remediation. No material weaknesses in any year.
- **Fare Revenue:** Fare integrity study identified $8.2M in annual revenue leakage. Recommendations informed MTA's decision to procure next-generation open-payment fare system.
- **Cybersecurity:** OT security assessment identified critical vulnerabilities in rail signaling systems. Remediation completed within 6 months. MTA was the only peer agency not impacted by the 2024 ransomware wave affecting transit systems.
- **Capital Program:** Identified $14.8M in potential cost overruns early enough for corrective action. Capital program currently 2.3% under budget.
- **Zero-Emission Transition:** TCO analysis demonstrated battery-electric buses achieve cost parity at Year 8, with $180M in lifecycle savings over 12-year fleet life. Analysis secured Board approval and $340M in FTA Low-No grants.

5. Client Satisfaction

Most Recent CSAT Score: 4.6 / 5.0 (October 2025 annual survey)

Net Promoter Score: +68 (Promoter category)

Relationship Health Rating: Green -- strong with upcoming re-compete

Selected feedback from MTA Board Chair:

- 'Meridian has brought a level of rigor and professionalism to our financial oversight that the Board deeply values.'
- 'The capital program oversight work has given us confidence that taxpayer dollars are being spent responsibly.'
- 'David Rawlings and his team understand the unique governance and accountability requirements of a public transit agency.'

6. Key Risks and Considerations

- **Re-Compete Risk:** Current audit contract expires June 2026. MTA procurement rules require competitive RFP for contracts exceeding $500K. Strong incumbent position but must demonstrate continued value and competitive pricing.
- **Independence Considerations:** Growing advisory relationship creates independence monitoring requirements. Current non-audit fees ($1.51M) exceed audit fees ($890K). Independence Committee reviewing annually.
- **Political Environment:** MTA Board is politically appointed. Board composition changed significantly after November 2024 elections. New members may prefer different advisory relationships.
- **Budget Pressure:** MTA facing structural budget deficit due to post-pandemic ridership recovery (82% of

pre-pandemic levels). May pressure professional services spending.

7. Growth Opportunities

- **Audit Re-Compete (FY2026-2031):** Highest priority. 5-year contract worth approximately $4.5M-$5M total. Proposal team being assembled now.
- **ERP Modernization:** MTA's 20-year-old PeopleSoft financial system approaching end-of-life. CIO has requested informal briefing on Meridian's ERP advisory capabilities.
- **Workforce Planning:** MTA facing significant retirement wave (28% of workforce eligible to retire within 5 years). Workforce planning and succession consulting opportunity.
- **Climate Resilience:** Board resolution requires climate vulnerability assessment of all transit infrastructure. Opportunity for risk assessment and adaptation planning engagement.

8. Key Contacts at MTA

- **General Manager / CEO:** Anthony Reeves (relationship: moderate -- quarterly Board presentations)
- **CFO:** Diana Kowalski (relationship: very strong -- weekly interaction during audit season)
- **Controller:** Mark Tanaka (relationship: very strong -- daily interaction)
- **CIO:** Steven Hernandez (relationship: strong)
- **VP Capital Programs:** Jennifer Lawson (relationship: strong)
- **Board Chair:** Commissioner Patricia Kim (relationship: moderate)
- **Board Audit Committee Chair:** Commissioner David Washington (relationship: strong -- quarterly presentations)
- **General Counsel:** Rebecca Santos (relationship: developing)